# CLOSING STATEMENT

Indigo Medical Pavilion | San Diego, CA

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| **Property** | Indigo Medical Pavilion |
| **Settlement Date** | December 9, 2020 |
| **Buyer** | Juniper Peak Real Estate Fund |
| **Seller** | Stonehaven Asset Partners |
| **Sale Price** | $60,350,000 |

## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Purchase price | $60,350,000 | | | |
| Earnest money deposit | | $331,325 | $331,325 | |
| Real estate tax proration | $410,432 | | | $410,432 |
| Rent proration | | | $491,719 | |
| Security deposits assumed | $529,166 | $529,166 | | |
| Prepaid rents | | | $289,534 | $289,534 |
| Owner's title policy premium | $387,318 | | | |
| Lender's title policy premium | | $60,934 | $60,934 | |
| Escrow fee | $334,530 | | | $334,530 |
| Recording fees | | | $364,183 | |
| Transfer tax | $419,311 | $419,311 | | |
| Survey | | | $460,954 | $460,954 |
| Legal fees - Buyer | $347,942 | | | |
| Legal fees - Seller | | $325,592 | $325,592 | |
| Broker commission | $492,337 | | | $492,337 |
| Loan origination fee | | | $343,473 | |
| Lender legal | $518,597 | $518,597 | | |
| Appraisal fee | | | $51,504 | $51,504 |
| Environmental report | $519,396 | | | |
| Property condition report | | $541,762 | $541,762 | |
| Tax escrow deposit | $309,552 | | | $309,552 |
| Insurance escrow deposit | | | $135,333 | |
| Replacement reserve deposit | $457,614 | $457,614 | | |

Report generated 12/09/2020. Figures are unaudited and subject to change.

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Legal fees - Buyer | $60,350,000 | | | |
| Legal fees - Seller | | $241,535 | $241,535 | |
| Broker commission | $167,502 | | | $167,502 |
| Loan origination fee | | | $208,247 | |
| Lender legal | $108,964 | $108,964 | | |
| Appraisal fee | | | $569,010 | $569,010 |
| Environmental report | $578,917 | | | |
| Property condition report | | $565,908 | $565,908 | |
| Tax escrow deposit | $308,572 | | | $308,572 |
| Insurance escrow deposit | | | $326,726 | |
| Replacement reserve deposit | $245,198 | $245,198 | | |
| Utility deposits | | | $496,149 | $496,149 |
| Assumed vendor contracts credit | $239,463 | | | |
| Tenant improvement credit | | $543,886 | $543,886 | |
| Courier / wire fees | $580,141 | | | $580,141 |
| Municipal certificates | | | $147,873 | |
| Purchase price | $192,012 | $192,012 | | |
| Earnest money deposit | | | $141,788 | $141,788 |
| Real estate tax proration | $37,703 | | | |
| Rent proration | | $13,450 | $13,450 | |
| Security deposits assumed | $275,986 | | | $275,986 |
| Prepaid rents | | | $401,653 | |
| Owner's title policy premium | $483,361 | $483,361 | | |
| Lender's title policy premium | | | $435,649 | $435,649 |
| Escrow fee | $128,700 | | | |
| Recording fees | | $359,330 | $359,330 | |
| Transfer tax | $481,038 | | | $481,038 |
| Survey | | | $531,319 | |

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## Income and Expense Review

Effective gross income for the trailing period was $420,000, representing a 5.9% increase over the prior year. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.34x on a trailing basis against a covenant minimum of 1.20x. Patient parking and ADA-compliant access are provided at a ratio of 22 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

## Financial Analysis

Operating expenses totaled $156,000 or approximately 9.66 per square foot, with real estate taxes representing the largest line item. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Debt service coverage ratio was 7.51x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.73% reflects the in-place income and the stabilized occupancy assumption. Patient parking and ADA-compliant access are provided at a ratio of 2 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period.

Effective gross income for the trailing period was $301,000, representing a 4.1% increase over the prior year. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 22 spaces per 1,000 square feet. Debt service coverage ratio was 6.49x on a trailing basis against a covenant minimum of 1.20x.

## Operating Performance

Effective gross income for the trailing period was $280,000, representing a 12.8% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Patient parking and ADA-compliant access are provided at a ratio of 9 spaces per 1,000 square feet. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Debt service coverage ratio was 5.57x on a trailing basis against a covenant minimum of 1.20x. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Operating expenses totaled $67,000 or approximately 45.63 per square foot, with real estate taxes representing the largest line item. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 30 spaces per 1,000 square feet.

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Assumed vendor contracts credit | $60,350,000 | | | |
| Tenant improvement credit | | $334,617 | $334,617 | |
| Courier / wire fees | $46,023 | | | $46,023 |
| Municipal certificates | | | $121,460 | |
| Purchase price | $253,341 | $253,341 | | |
| Earnest money deposit | | | $411,067 | $411,067 |
| Real estate tax proration | $53,711 | | | |
| Rent proration | | $530,507 | $530,507 | |
| Security deposits assumed | $546,067 | | | $546,067 |
| Prepaid rents | | | $473,790 | |
| Owner's title policy premium | $272,941 | $272,941 | | |
| Lender's title policy premium | | | $554,888 | $554,888 |
| Escrow fee | $70,397 | | | |
| Recording fees | | $307,675 | $307,675 | |
| Transfer tax | $133,622 | | | $133,622 |
| Survey | | | $300,664 | |
| Legal fees - Buyer | $345,184 | $345,184 | | |
| Legal fees - Seller | | | $120,950 | $120,950 |
| Broker commission | $414,808 | | | |
| Loan origination fee | | $598,496 | $598,496 | |
| Lender legal | $254,624 | | | $254,624 |
| Appraisal fee | | | $545,509 | |
| Environmental report | $182,089 | $182,089 | | |
| Property condition report | | | $352,925 | $352,925 |
| Tax escrow deposit | $449,449 | | | |
| Insurance escrow deposit | | $379,210 | $379,210 | |
| Replacement reserve deposit | $602,378 | | | $602,378 |
| Utility deposits | | | $439,595 | |

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## Operating Performance

Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Effective gross income for the trailing period was $359,000, representing a 8.1% increase over the prior year. Patient parking and ADA-compliant access are provided at a ratio of 11 spaces per 1,000 square feet. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Debt service coverage ratio was 6.64x on a trailing basis against a covenant minimum of 1.20x.

Operating expenses totaled $239,000 or approximately 8.22 per square foot, with real estate taxes representing the largest line item. Patient parking and ADA-compliant access are provided at a ratio of 6 spaces per 1,000 square feet. Effective gross income for the trailing period was $190,000, representing a 7.9% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period.

## Valuation Discussion

Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The going-in capitalization rate of 6.51% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $443,000, representing a 13.6% increase over the prior year.

Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Operating expenses totaled $318,000 or approximately 46.71 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. The going-in capitalization rate of 7.45% reflects the in-place income and the stabilized occupancy assumption. Patient parking and ADA-compliant access are provided at a ratio of 47 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

## Valuation Discussion

Effective gross income for the trailing period was $375,000, representing a 5.2% increase over the prior year. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses.

Effective gross income for the trailing period was $410,000, representing a 3.0% increase over the prior year. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 40 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Operating expenses totaled $333,000 or approximately 6.23 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period.

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Escrow fee | $60,350,000 | | | |
| Recording fees | | $74,632 | $74,632 | |
| Transfer tax | $263,243 | | | $263,243 |
| Survey | | | $452,730 | |
| Legal fees - Buyer | $499,132 | $499,132 | | |
| Legal fees - Seller | | | $454,871 | $454,871 |
| Broker commission | $64,406 | | | |
| Loan origination fee | | $211,043 | $211,043 | |
| Lender legal | $295,757 | | | $295,757 |
| Appraisal fee | | | $543,057 | |
| Environmental report | $169,802 | $169,802 | | |
| Property condition report | | | $385,515 | $385,515 |
| Tax escrow deposit | $13,074 | | | |
| Insurance escrow deposit | | $35,521 | $35,521 | |
| Replacement reserve deposit | $74,154 | | | $74,154 |
| Utility deposits | | | $379,157 | |
| Assumed vendor contracts credit | $136,448 | $136,448 | | |
| Tenant improvement credit | | | $256,267 | $256,267 |
| Courier / wire fees | $356,096 | | | |
| Municipal certificates | | $39,661 | $39,661 | |
| Purchase price | $252,135 | | | $252,135 |
| Earnest money deposit | | | $78,629 | |
| Real estate tax proration | $461,598 | $461,598 | | |
| Rent proration | | | $200,868 | $200,868 |
| Security deposits assumed | $280,274 | | | |
| Prepaid rents | | $190,386 | $190,386 | |
| Owner's title policy premium | $475,307 | | | $475,307 |
| Lender's title policy premium | | | $201,369 | |

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## Operating Performance

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Debt service coverage ratio was 5.34x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $437,000 or approximately 24.07 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period.

Debt service coverage ratio was 6.05x on a trailing basis against a covenant minimum of 1.20x. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses.

## Operating Performance

Debt service coverage ratio was 6.83x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. Patient parking and ADA-compliant access are provided at a ratio of 30 spaces per 1,000 square feet. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Debt service coverage ratio was 5.24x on a trailing basis against a covenant minimum of 1.20x.

## Financial Analysis

Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Effective gross income for the trailing period was $149,000, representing a 10.2% increase over the prior year. Debt service coverage ratio was 5.87x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.50% reflects the in-place income and the stabilized occupancy assumption. Patient parking and ADA-compliant access are provided at a ratio of 6 spaces per 1,000 square feet.

Operating expenses totaled $305,000 or approximately 27.71 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The going-in capitalization rate of 7.46% reflects the in-place income and the stabilized occupancy assumption. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Tax escrow deposit | $60,350,000 | | | |
| Insurance escrow deposit | | $40,544 | $40,544 | |
| Replacement reserve deposit | $329,009 | | | $329,009 |
| Utility deposits | | | $94,260 | |
| Assumed vendor contracts credit | $259,715 | $259,715 | | |
| Tenant improvement credit | | | $160,815 | $160,815 |
| Courier / wire fees | $117,372 | | | |
| Municipal certificates | | $494,167 | $494,167 | |
| Purchase price | $324,256 | | | $324,256 |
| Earnest money deposit | | | $30,051 | |
| Real estate tax proration | $474,600 | $474,600 | | |
| Rent proration | | | $19,005 | $19,005 |
| Security deposits assumed | $400,547 | | | |
| Prepaid rents | | $240,981 | $240,981 | |
| Owner's title policy premium | $120,655 | | | $120,655 |
| Lender's title policy premium | | | $172,779 | |
| Escrow fee | $346,187 | $346,187 | | |
| Recording fees | | | $375,926 | $375,926 |
| Transfer tax | $427,976 | | | |
| Survey | | $329,026 | $329,026 | |
| Legal fees - Buyer | $126,767 | | | $126,767 |
| Legal fees - Seller | | | $30,694 | |
| Broker commission | $208,146 | $208,146 | | |
| Loan origination fee | | | $28,715 | $28,715 |
| Lender legal | $142,299 | | | |
| Appraisal fee | | $323,306 | $323,306 | |
| Environmental report | $524,914 | | | $524,914 |
| Property condition report | | | $322,124 | |

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## Income and Expense Review

Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Effective gross income for the trailing period was $42,000, representing a 7.0% increase over the prior year. Operating expenses totaled $455,000 or approximately 36.01 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 8.07% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.91x on a trailing basis against a covenant minimum of 1.20x.

Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 26 spaces per 1,000 square feet.

## Income and Expense Review

Debt service coverage ratio was 6.16x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.42% reflects the in-place income and the stabilized occupancy assumption. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 11 spaces per 1,000 square feet.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 39 spaces per 1,000 square feet.

## Financial Analysis

The going-in capitalization rate of 6.17% reflects the in-place income and the stabilized occupancy assumption. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Effective gross income for the trailing period was $120,000, representing a 9.4% increase over the prior year. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

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